WARRANTY ATLAS · Iowa (IA)

Law last amended: 2023 (eff. 2023-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-19

Cites: Iowa Code § 322A.5; Iowa Code § 322.3(14), (16); Iowa Code §§ 322.11, 322.14, 322.31

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 322A.5(2)(c)
Mfr-backed service contract	**Not addressed**	-	§ 322A.5(2)(a)
CPO warranty	**Not addressed**	-	§ 322A.5(2)(a)
Independent service contract	**Not addressed**	-	§ 322A.5(2)(b)(4)

Hourly rate: Not less than the franchisee's rates for like services to retail customers, provided the rates are reasonable. The franchiser 'may' compute the retail labor rate as retail labor sales for warranty-like services ÷ hours, from 100 sequential customer-paid ROs or all ROs in 90 days, whichever is less, within 180 days, excluding routine maintenance such as tire or oil service. Effective 45 days after approval. A denial can be contested before DIAL, with the burden on the franchi…

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Denial in writing within 30 days. Allowed grounds: repair not related to warranty or recall; repair not properly performed; lacks reasonably required documentation; noncompliance with program terms; bona fide, fact-based belief of an intentionally false or fr…	§ 322A.5(4)(a)
Payment	30 days after approval. Dealer filing deadline: A claim may not be reduced or disallowed for being submitted fewer than 60 days after the work was completed (§ 322.3(16)); no maximum stated. A claim may be rejected, but not denied, solely for an unintentional failure such as a clerical error; the dealer may resubmit th…	
Chargebacks	12 months; fraud: The 12-month limit does not apply if an Iowa court of competent juris…. The 12 months run from claim SUBMISSION, not payment: no reduction or disallowance of warranty compensation once 12 months have passed since submission (§ 322.3(14)). The 30-day rules do not preclude denials, reductions or chargebacks not otherwise barred by…	§ 322.3(14)(a)
Rate resubmission	Once in any one-year period. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Routine maintenance, Tires.	§ 322A.5(2)(b)(3)(a)
Mfr response	Silent; no response = approved: no rule in statute. Challenge: At a DIAL hearing the franchiser bears the burden of proving its denial was reasonable. The compensation floor applies 'provided the rates are reasonable' (§ 322A.5(2)(b)(4)) Forum: Complaint to the department (Iowa DOT); contested-case hearing before….	§ 322A.5(2)(b)(3)(b)
Penalties	An additional award of reasonable attorney fees and litigation expenses where the district court finds a franchiser or franchisee violated an express or implied warranty (§ 322A.5(1); a consumer-warranty fulfillment clause). Franchise clauses restricting jurisdiction to an out-of-state forum are void (§ 322A.19) Manufacturer or distrib…	Iowa Code §§ 322A.5(1), 322A.5(2)(b)(3)(b), 322A.19, 322.11, 322.14,…
Audit procedures	Audit climate score 30/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission.	

Statute quotes

Claims *(§ 322A.5(4)(a)): "shall be paid within thirty days after the claim's approval … If a franchiser does not deny a claim in writing within thirty days after the receipt of the claim, the claim shall be deemed to be approved"*
Chargebacks *(§ 322.3(14)(a)): "shall not reduce the amount of compensation for, or disallow a claim for, any of the following if twelve months or more have passed since the claim was submitted"*
Rate *(§ 322A.5(2)(b)(3)(a)): "one hundred sequential retail service orders paid by the franchisee's customers, or all of the franchisee's retail service orders paid by the franchisee's customers in a ninety-day period, whichever is less, for services provided within the previous one-hundred-eighty-day period"*
Factory time *(§ 322A.5(2)(c)): "The franchiser shall provide to the franchisee a list of time allowances for the performance of warranty services. Time allowances for the performance of warranty services, including diagnostic services, shall be reasonable and adequate for the services to be performed."*

Notes

Time allowances, incl. diagnostics, must be 'reasonable and adequate' (§ 322A.5(2)(c)). § 322A.5(5) extends the obligations to franchisers of separately warranted transmissions, engines or rear axles. The text is nearly identical to K.S.A. 8-2415(c). Iowa measures the 12-month chargeback bar from submission; Kansas measures it from payment.

Source: official · https://www.legis.iowa.gov/docs/code/322A.pdf (Iowa Code 2026; ch. 322 at https://www.legis.iowa.gov/docs/code/322.pdf) · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.